



Association of Mutual Funds in India

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135/BP/ 109-A /2023-24

September 10, 2024

To,

All AMFI Members

Dear Members,

AMFI Best Practice Guidelines Circular No. 109-A/2024-25

Usage of illustrations for depicting future returns in the non - scheme related materials - Review of CAGR values

Please refer to AMFI Best Practices Guidelines Circular No. 109 / 2023-24 dated Best Practices Guidelines November 01, 2023 on “Usage of illustrations for depicting future returns (based on assumptions / presumptions) in the non - scheme related materials and incidental matters”, specifying the categories / situations which can be used for providing numeric illustration using the compounded annualized growth rate (CAGR) % prescribed against each category/situation.

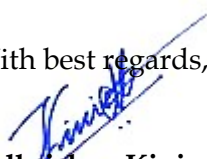
The circular inter-alia contains the recommended CAGR for Nifty, Sensex and 10-Year G-Sec for various scheme categories based on the mean of 10-years rolling return between June 2013 and May 2023. It is also mentioned in the aforesaid circular that AMFI may modify the list of categories and the CAGR from time to time based on market conditions.

Since the CAGR for Nifty, Sensex and 10-Year G-Sec mentioned in the above circular was based on the mean of 10-years rolling return between June 2013 and May 2023, AMFI has with the help of a Working Group of Product Heads and Compliance Officers has duly reviewed the CAGR values using 10-years rolling return for the period ended 31st May 2024, and it has been decided to revise CAGR values mentioned in the table under para 4 of the circular. The revised set of CAGR values, has been duly noted / endorsed by the Board of AMFI at the board meeting held on Sep 06, 2024.

Accordingly, in partial modification of the AMFI BPG circular No. 109 / 2023-24 dated November 01, 2023, the table below para 4 of the circular stands revised as per table shown in Annexure 1. A comparison of the previous values and revised values of the CAGR are mentioned in the Annexure 2 hereto for ready reference.

All other provisions of the AMFI Best Practices Guidelines Circular No. 109 / 2023-24 dated November 01, 2023 remain unchanged.

With best regards,


Balkrishna Kini
Dy. Chief Executive

ANNEXURE 1

Category of Scheme (A)	Revised Values *	
	Benchmark	CAGR for illustration % (B)
Equity funds	Sensex / Nifty 50/ Nifty 500	Sensex - 12.62 Nifty 50 - 12.42 Nifty 500 - 12.80
Fixed income funds	CRISIL 10-year Gilt Index / CRISIL Composite Bond Index	CRISIL 10 year Gilt Index - 6.61 CRISIL Composite Bond Index - 7.85
Hybrid Funds		
Investing predominantly in equities (Assuming 75% Equity and 25% Debt)	Sensex/Nifty 50 (75%) + Crisil 10-year Gilt Index (25%)	Sensex (75%) + Crisil 10-year Gilt Index (25%) - 11.12 Nifty 50 (75%) + Crisil 10-year Gilt Index (25%) - 10.97
	Nifty 500 (75%) + CRISIL Composite Bond Index (25%)	Nifty 500 (75%) + CRISIL Composite Bond Index (25%) - 11.56
Investing predominantly in debt securities / instruments (Assuming 25% Equity and 75% Debt)	Sensex/Nifty 50 (25%) + Crisil 10-year Gilt Index (75%)	Sensex (25%) + Crisil 10-year Gilt Index (75%) - 8.12 Nifty 50 (25%) + Crisil 10-year Gilt Index (75%) - 8.07
	Nifty 500 (25%) + CRISIL Composite Bond Index (75%)	Nifty 500 (25%) + CRISIL Composite Bond Index (75%) - 9.09
Investing equally in Equity and Debt (assuming 50 % Equity and 50 % Debt)	Sensex/Nifty 50 (50%) + CRISIL 10-year Gilt Index - 50%	Sensex (50%) + CRISIL 10-year Gilt Index (50%) - 9.62 Nifty 50 (50%) + CRISIL 10-year Gilt Index (50%) - 9.52
	Nifty 500 (50%) + CRISIL Composite Bond Index (50%)	Nifty 500 (50%) + CRISIL Composite Bond Index (50%) - 10.32
Multi Asset Funds (Assuming 40% Equity, 40% Debt and 20% Gold)	Variant 1 Sensex/Nifty 50 (40%) + CRISIL 10-year Gilt Index (40%) + Gold (20%)	Variant 1 Sensex (40%) + CRISIL 10-year Gilt Index (40%) + Gold (20%) - 9.43 Nifty 50 (40%) + CRISIL 10-year Gilt Index (40%) + Gold (20%) - 9.35
	Variant 2 Nifty 500 (50%) + CRISIL Composite Bond Index (40%) + Gold (10%)	Variant 2 Nifty 500 (50%) + CRISIL Composite Bond Index (40%) + Gold (10%) - 10.43

***Basis of computing the rate:** Mean of 10 years rolling return between 01/06/2014 and 31/05/2024 of _____ (Benchmark)

Note: Returns calculated by taking mean of 10-year rolling returns between 01/06/14 and 31/05/24 (Index values are considered from June 2004 to May 2024) for various benchmarks. Mean returns are as follows: INR Gold 8.84%; Nifty 500: 12.80% and CRISIL Composite Bond Index: 7.85%.

ANNEXURE 2

Category of Scheme (A)	Previous Values		Revised Values	
	Benchmark	CAGR for illustration (B)	Benchmark	CAGR for illustration % (B)
Equity funds	Sensex/ Nifty	Sensex – 12.64% Nifty – 12.93%	Sensex /Nifty 50/ Nifty 500	Sensex – 12.62 Nifty 50 – 12.42 Nifty 500 – 12.80
Fixed income funds	10-year G-Sec	7.20%	CRISIL 10-year Gilt Index / CRISIL Composite Bond Index	CRISIL 10 year Gilt Index – 6.61 CRISIL Composite Bond Index – 7.85
Hybrid Funds				
Investing predominantly in equities (Assuming 75% Equity and 25% Debt)	Sensex/Nifty + 10 Year G-Sec	Sensex – 11.28% Nifty – 11.50%	Sensex/Nifty 50 (75%) + Crisil 10-year Gilt Index (25%) Nifty 500 (75%) + CRISIL Composite Bond Index (25%)	Sensex (75%) + Crisil 10-year Gilt Index (25%) – 11.12 Nifty 50 (75%) + Crisil 10-year Gilt Index (25%) – 10.97 Nifty 500 (75%) + CRISIL Composite Bond Index (25%) – 11.56
Investing predominantly in debt securities / instruments (Assuming 25% Equity and 75% Debt)	10 Year G-Sec + Nifty/Sensex	Sensex – 8.56% Nifty – 8.63%	Sensex/Nifty 50 (25%) + Crisil 10- year Gilt Index (75%) Nifty 500 (25%) + CRISIL Composite Bond Index (75%)	Sensex (25%) + Crisil 10-year Gilt Index (75%) – 8.12 Nifty 50 (25%) + Crisil 10-year Gilt Index (75%) – 8.07 Nifty 500 (25%) + CRISIL Composite Bond Index (75%) – 9.09
Investing equally in Equity and Debt (assuming 50 % Equity and 50 % Debt)	Sensex/Nifty – 50% 10 Year G-Sec – 50%	Sensex: G-Sec -9.92% Nifty: G-Sec – 10.07%	Sensex/Nifty 50 (50%) + CRISIL 10-year Gilt Index – 50% Nifty 500 (50%) + CRISIL Composite Bond Index (50%)	Sensex (50%) + CRISIL 10-year Gilt Index (50%) – 9.62 Nifty 50 (50%) + CRISIL 10-year Gilt Index (50%) – 9.52 Nifty 500 (50%) + CRISIL Composite Bond Index (50%) – 10.32

Multi Asset Funds (Assuming 40% Equity, 40% Debt and 20% Gold)	Sensex/Nifty - 40% 10 Year G-Sec - 40% Gold - 20%	Sensex: G-Sec: Gold - 9.80% Nifty: G-Sec: Gold - 9.92%	Variant 1 Sensex/Nifty 50 (40%) + CRISIL 10- year Gilt Index (40%) + Gold (20%) Variant 2 Nifty 500 (50%) + CRISIL Composite Bond Index (40%) + Gold (10%)	Variant 1 Sensex (40%) + CRISIL 10-year Gilt Index (40%) + Gold (20%) - 9.43 Nifty 50 (40%) + CRISIL 10-year Gilt Index (40%) + Gold (20%) - 9.35 Variant 2 Nifty 500 (50%) + CRISIL Composite Bond Index (40%) + Gold (10%) - 10.43
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For all Stock Exchange indices, TRI variant to be used

Basis of computing the rate (C)	
Previous	Revised
Mean of 10 years rolling return between 01/06/2013 and 31/05/2023 of _____ (Benchmark)	Mean of 10 years rolling return between 01/06/2014 and 31/05/2024 of _____ (Benchmark)